

24STCV26948 24STCV26948

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Case Number: 24STCV26948 Hearing Date: June 29, 2026 Dept: 732

TG Investments & Consulting, Inc. v. Barbara L. Anderson, et al.

Monday, June 29, 2025

CASE NUMBER: 24STCV26948

OPPOSED

Defendant Coldwell Banker Residential Brokerage Company's Demurrer and Motion to Strike Portions of the First Amended Complaint. _____

Facts: This is an action for negligence and misrepresentation. The Complaint alleges as follows. Plaintiff TG Investments & Consulting, Inc. (Plaintiff) purchased certain real property from Defendant Barbara L. Anderson (Anderson) in a transaction brokered through Defendant Coldwell Banker, escrowed through Defendant Granite Escrow & Settlement Services (Granite), and Defendant First American Title Company providing title services. (Complaint ¶ 11.) Before the sale, Defendants disclosed that the only encumbrance on the property was \$61,547.19 owed to the City of Los Angeles for code violation penalties. (Complaint ¶ 13.) They did not disclose liens associated with prior city violations and demolition orders amounting to \$223,000. (Complaint ¶ 15.)

Procedural History: Plaintiff filed the Complaint on October 15, 2024, alleging seven causes of action:

Breach of Contract

Negligence

Negligent Misrepresentation

Intentional Misrepresentation

Breach of Fiduciary Duty

Breach of the Implied Covenant of Fair Dealing

Failure to Disclose

Plaintiff filed the FAC on June 6, 2025, alleging the same causes of action.

Defendant Coldwell Banker ("CB") filed the present demurrer and motion to strike portions of the FAC on August 19, 2025.

Plaintiff filed oppositions on June 15, 2026.

CB filed replies on June 18, 2026.

Analysis:

DEMURRER

A demurrer should be sustained only where the defects appear on the face of the pleading or are judicially noticed. (Code Civ. Pro., §§ 430.30, et seq.) In particular, as is relevant here, a court should sustain a demurrer if a complaint does not allege facts that are legally sufficient to constitute a cause of action. (See id., § 430.10, subd. (e).) As the Supreme Court held in *Blank v. Kirwan* (1985) 39 Cal.3d 311: "We treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law. . . . Further, we give the complaint a reasonable interpretation, reading it as a whole and its parts in their context." (Id. at p. 318; see also *Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747 ["A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. [Citation.]"])

"In determining whether the complaint is sufficient as against the demurrer ... if on consideration of all the facts stated it appears the plaintiff is entitled to any relief at the hands of the court against the defendants the complaint will be held good although the facts may not be clearly stated." (*Gressley v. Williams* (1961) 193 Cal.App.2d 636, 639.)

"A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." (*Khoury v. Maly's of Cal., Inc.* (1993) 14 Cal.App.4th 612, 616.) Such demurrers "are disfavored, and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond." (*Mahan v. Charles W. Chan Insurance Agency, Inc.* (2017) 14 Cal.App.5th 841, 848.)

A demurrer should not be sustained without leave to amend if the complaint, liberally construed, can state a cause of action under any theory or if there is a reasonable possibility the defect can be cured by amendment. (*Schifando v. City of Los Angeles*, supra, 31 Cal.4th at p. 1081.) The demurrer also may be sustained without leave to amend where the nature of the defects and previous unsuccessful attempts to plead render it probable plaintiff cannot state a cause of action. (*Krawitz v. Rusch* (1989) 209 Cal.App.3d 957, 967.)

Defendant Coldwell Banker Residential Brokerage Company ("CB") demurrers to each cause of action pleaded against it on the grounds that, although Plaintiff T.G. Investments & Consulting Inc.'s ("Plaintiff") Complaint is based on the failure to disclose a lien on property purchased by Plaintiff in the amount of \$223,000.00, public records reveal that the lien was

terminated the day after the close of escrow. (Demurrer at p. 8; RJN Exh. A.) As to particular claims, CB argues that the first cause of action for breach of contract and the sixth cause of action for breach of the covenant of fair dealing concern a purchase agreement to which CB was not a party; and that the third and fourth causes of action for negligent and intentional misrepresentation do not plead the representations at issue with particularity. (Demurrer at pp. 5–8.)

Plaintiff in opposition argues that the demurrer is untimely, rests upon matter extrinsic to the First Amended Complaint (“FAC”), and that the FAC contains facts concerning other agreements and representations sufficient to attach liability to CB. (Demurrer at pp. 6–11.)

CB in reply does not contest that the demurrer is untimely under Code of Civil Procedure §§ 430.40 and 430.41. (Reply at p. 2.) However, the decision to hear an untimely demurrer is within the court’s discretion. (Jackson v. Doe (2011) 192 Cal.App.4th 742, 749.) Plaintiff identifies no prejudice suffered from the tardy filing, and the late filing of the demurrer does not affect the defects in the FAC that the demurrer identifies, which if not challenged by demurrer may be challenged by a motion for judgment on the pleadings. (See Code Civ. Proc. § 438.)

CB’s identification of a recorded termination of title does not afford it relief at the pleading stage, however. It is true that each cause of action is predicated upon damages suffered by Plaintiff as a result of the nondisclosure of a \$223,000 lien held by the City of Los Angeles on the property at issue. (FAC ¶¶ 27–30, 38–42, 53–55, 62–66, 72–73, 83–84, 91–92.) This court may take judicial notice of the termination of this lien recorded by the City on August 14, 2024. (RJN Exh. A; Evid. Code § 452.) But this court cannot take judicial notice of CB’s contention that this extinguishment of the lien occurred on the day after the close of escrow, or that Plaintiff in fact suffered no damages as a result of the lien’s nondisclosure. (Motion at p. 4.) Thus the court cannot sustain the demurrer on the grounds that no damages were in fact suffered.

However, CB is correct that the first, third, fourth, and sixth causes of action for breach of contract, intentional and negligent misrepresentation, and breach of the implied covenant of fair dealing. The first and sixth causes of action fail to allege both the predicate contracts and predicate misrepresentations upon which they are based. Contract claims, such as the first and sixth causes of action, are vulnerable to demurrer when “it cannot be ascertained from the pleading whether the contract is written, is oral, or is implied by conduct.” (Code Civ. Proc. § 430.10, subd. (g).) Here the only agreement alleged is the written purchase agreement, to which CB is not alleged to be a party. (FAC ¶ 25.) The sixth cause of action makes brief reference to an “agency agreement” with CB, but does not describe the nature of the contract or the terms CB violated. (FAC ¶ 75.) This is insufficient basis upon which to allege a contract claim.

Likewise, the third and fourth causes of action for misrepresentation necessarily rely upon some affirmative misrepresentation made by CB. (See Graham v. Bank of America, N.A. (2014) 226 Cal.App.4th 594, 605 [elements of intentional misrepresentation]; National Union Fire Ins. Co. of Pittsburgh, PA v. Cambridge Integrated Services Group, Inc. (2009) 171 Cal.App.4th 35, 50 [elements of negligent misrepresentation].) But the FAC alleges no affirmative misrepresentations by CB or its agent — only the failure to disclose the lien on an Agent Visual Inspection Disclosure form. (FAC ¶¶ 50, 60.) Although Plaintiff argues that CB, as a broker and fiduciary, may be liable for a failure to disclose (Opposition at pp. 9–10), these theories are articulated in Plaintiff’s fifth and seventh causes of action for breach of fiduciary duty and failure to disclose, and do not permit the assertion of claims based on theories of affirmative misrepresentation when no such representations are alleged.

Accordingly, the demurrer is SUSTAINED as to the first, third, fourth, and sixth causes of action for breach of contract, intentional and negligent misrepresentation, and breach of the implied covenant of fair dealing, with leave to amend. Any amended pleading shall be filed within 20 days of this order.

MOTION TO STRIKE

Any party, within the time allowed to respond to a pleading, may serve and file a notice of motion to strike the whole or any part thereof. (Code Civ. Proc., § 435(b)(1)). The notice of motion to strike a portion of a pleading shall quote in full the portions sought to be stricken except where the motion is to strike an entire paragraph, cause of action, count or defense. (California Rules of Court Rule 3.1322.)

The grounds for a motion to strike shall appear on the face of the challenged pleading or form any matter of which the court is required to take judicial notice. (Code Civ. Proc., § 437(a)). The court then may strike out any irrelevant, false, or improper matter inserted in any pleading and strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Code Civ. Proc., § 436.) When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend. (Perlman v. Municipal Court (1979) 99 Cal.App.3d 568, 575.)

CB moves to strike the FAC's prayer for attorney fees on the grounds that no statute or agreement is alleged to provide a basis for fees against CB. (Motion at p. 5.) CB also argues that Plaintiff fails to plead a basis for punitive damages. (Motion at pp. 5–7.)

Punitive damages are allowed in non-contract cases when a defendant is guilty of "oppression, fraud, or malice" (Civ. Code § 3294, subd. (a).) The terms are defined as:

"Malice" means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.

"Oppression" means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights.

"Fraud" means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.

(Civ. Code § 3294, subd. (c).)

Something more than the mere commission of a tort is always required for punitive damages. (Taylor v. Superior Court (1979) 24 Cal.3d 890, 894.) Proof of negligence, gross negligence, or recklessness is insufficient to warrant an award of punitive damages. (Dawes v. Sup.Ct. (Mardian) (1980) 111 Cal.App.3d 82, 88–89.) Punitive damages may be recovered in an action for negligence or other nonintentional torts if the plaintiff pleads and proves that the defendant acted with the state of mind described as "conscious disregard" of the potential dangers to others. (Pfeifer v. John Crane, Inc. (2013) 220 Cal.App.4th 1270, 1299.) When malice is based on a defendant's conscious disregard of Plaintiff's rights, the conduct must be both despicable and willful. (College Hospital v. Superior Court (1994) 8 Cal.4th 794, 713 ("College Hospital").)

Plaintiff here alleges a viable claim for punitive damages based on allegations that CB intentionally failed to disclose known encumbrances upon the subject property in violation of its fiduciary duties. Although CB obliquely challenges these claims by its reference to the officially recorded termination of lien, as explained above, that termination of lien does not provide a basis for relief on demurrer or motion to strike.

However, CB is correct that the FAC alleges no basis for its prayer for attorney fees. "Except as attorney's fees are specifically provided for by statute, the measure and mode of compensation of attorneys and counselors at law is left to the agreement, express or implied, of the parties; but parties to actions or proceedings are entitled to their costs, as hereinafter provided." (Code Civ. Proc. § 1021.) Plaintiff here cites no statute or contractual basis to seek fees against CB, and does not address this point in its opposition.

Accordingly, the motion to strike is GRANTED as to the prayer for attorney fees with leave to amend.

Superior Court of California

County of Los Angeles

Department 732

TG INVESTMENTS & CONSULTING, INC.,

Plaintiff,

v.

BARBARA L. ANDERSON, et al.,

Defendants.

Case No.: 24STCV26848

Hearing Date: June 29, 2026

[TENTATIVE] RULING RE:

Defendant Coldwell Banker Residential Brokerage Company's Demurrer and Motion to Strike Portions of the First Amended Complaint

Defendant Coldwell Banker Residential Brokerage Company's Demurrer and Motion to Strike Portions of the First Amended Complaint are SUSTAINED as to the first, third, fourth, and sixth causes of action for breach of contract, intentional and negligent misrepresentation, and breach of the implied covenant of fair dealing, with leave to amend, and GRANTED as to the prayer for attorney fees, with leave to amend. The demurrer is otherwise OVERRULED and the motion to strike DENIED. Any amended pleading shall be filed within 20 days of this order.

Defendant to provide notice.

Dated: June 29, 2026

Hon. Richard S. Kemalyan

Judge of the Superior Court